Market Functionality Index

September 2025

WFP Lebanon -
Research, Assessment and Monitoring

WFP
World Food Programme

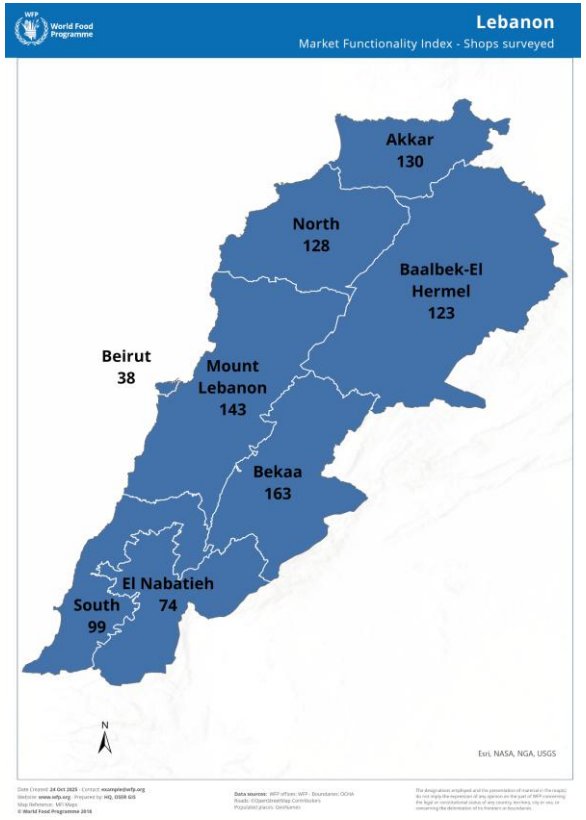
SAVING LIVES
CHANGING LIVES

Market Functionality Index (MFI) - Methodology

WFP's Market Functionality Index (MFI)

- WFP's MFI is a quantitative measure of the functioning of markets based on a trader survey. It is designed to provide insights into the feasibility of market-based interventions. The MFI assigns the marketplace a score across different dimensions between zero (low functionality) and ten (high functionality) that can be interpreted consistently across time and locations.
- The reduced version the index is composed of four dimensions:
  - The **assortment dimension** indicates the variety of essential goods can be purchased in a marketplace.
  - The **availability dimension** tracks any scarcity or risk of runout of these items.
  - The **price dimension** assesses price trends and predictability.
  - The **resilience dimension** evaluates shock responsiveness through lead time of deliveries and stock coverage
- WFP conducted a nationwide survey of 898 retailers between September 3rd and September 30th, 2025. This is the twelfth MFI round since April 2024 and the sixth at full scale. The previous nationwide survey took place in May 2025.
- The survey is fully representative on a governorate level.

Shops surveyed – September 2025

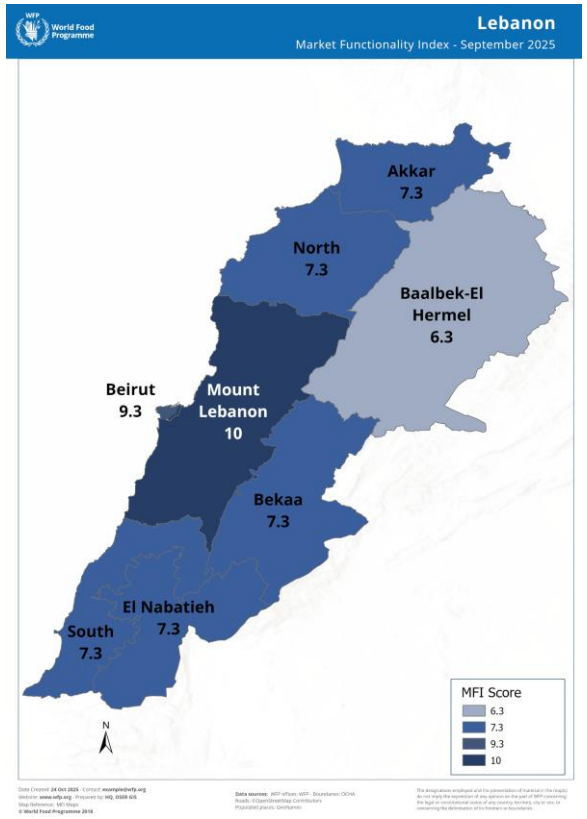


Market Functionality Index (MFI)

KEY FINDINGS

- Market functionality remained robust nationwide in September 2025, with the national MFI score standing at 7.8, slightly below its May 2025 level of 8.3 but still indicating strong overall market performance. Persistent challenges related to price predictability and inflation in non-cereal food items continued to affect several governorates.
- Mount Lebanon maintained a score of 10, reflecting full market functionality, while Beirut scored high at 9.3, marginally down from 9.5 in May 2025.
- North Lebanon's MFI decreased from 10 in May to 7.3 in September, driven by renewed uncertainty in price movements across key product categories.
- Baalbek-El Hermel reversed its May 2025 improvement (7.3) and returned to an MFI score of 6.3 in September 2025 on the back of renewed inflation in non-cereal food items.
- Akkar, Bekaa, El Nabatieh, and South remained stable at 7.3, sustaining moderate levels of market functionality since early 2025.

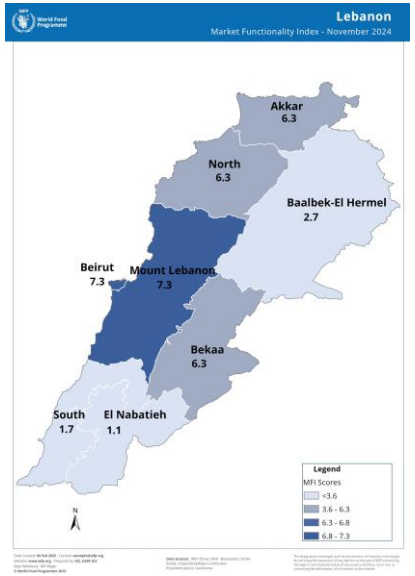
MFI Scores
September 2025



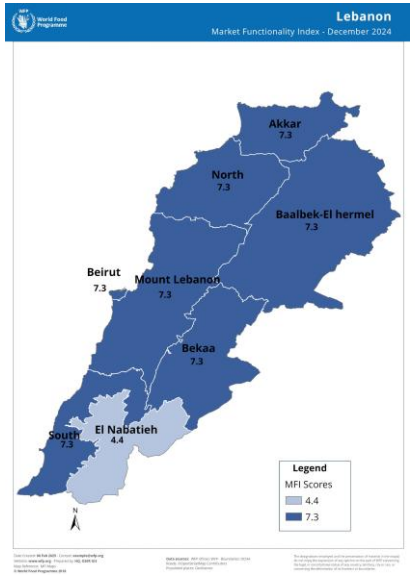
Market Functionality Index (MFI) – Previous Full-Scale Rounds

MFI Scores

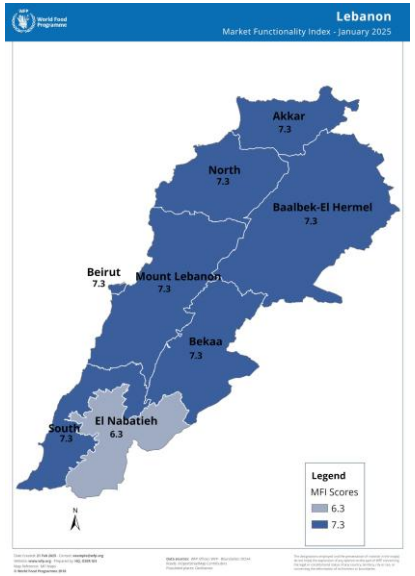
November 2024



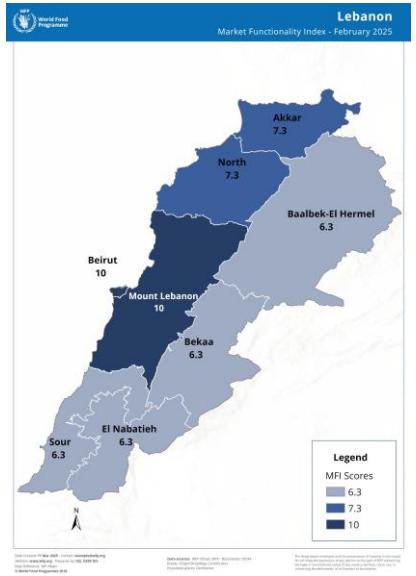
December 2024



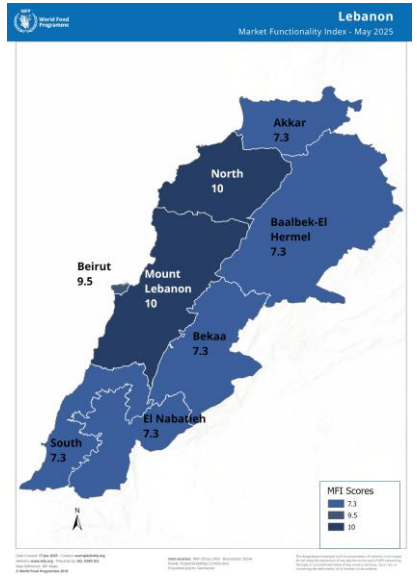
January 2025



February 2025



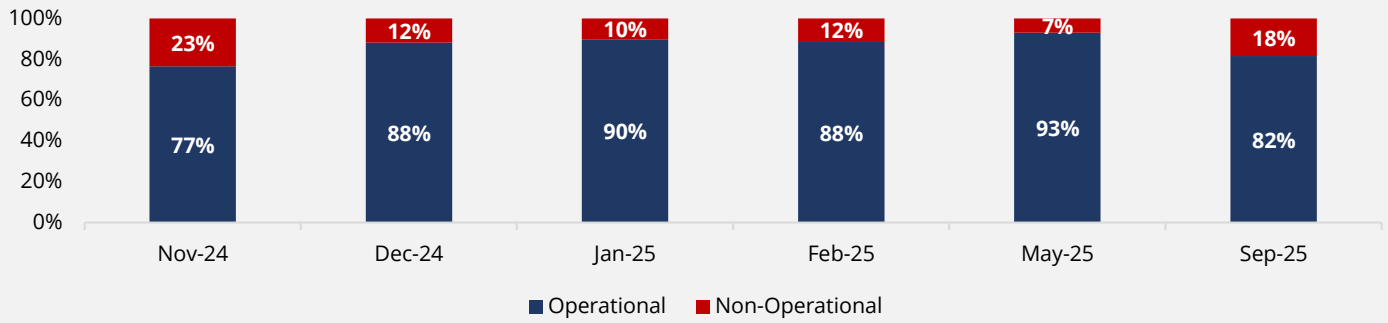
May 2025



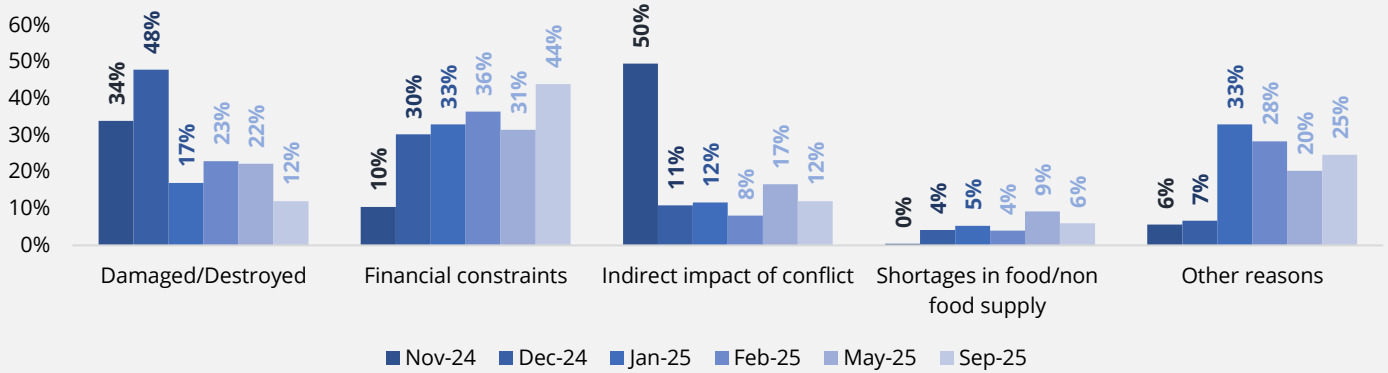
Operational Shops

- The proportion of operational shops dropped from 93 percent in May 2025 to 82 percent in September 2025, reversing the improvement observed since December 2024.
- The majority of non-operational shops in September 2025 referred to financial constraints (44 percent) and other reasons such as selling the shop, switching to another occupation, or travel (25 percent) as the main reason to be closed. Around a quarter mentioned conflict, through either physical damage (12 percent) or indirect impact such as market inaccessibility and lack of demand (12 percent). The remaining 6 percent mentioned shortages in food and non-food supply as reasons for their non-operationality.

Operational Status of surveyed shops



Key factors of non-operationality

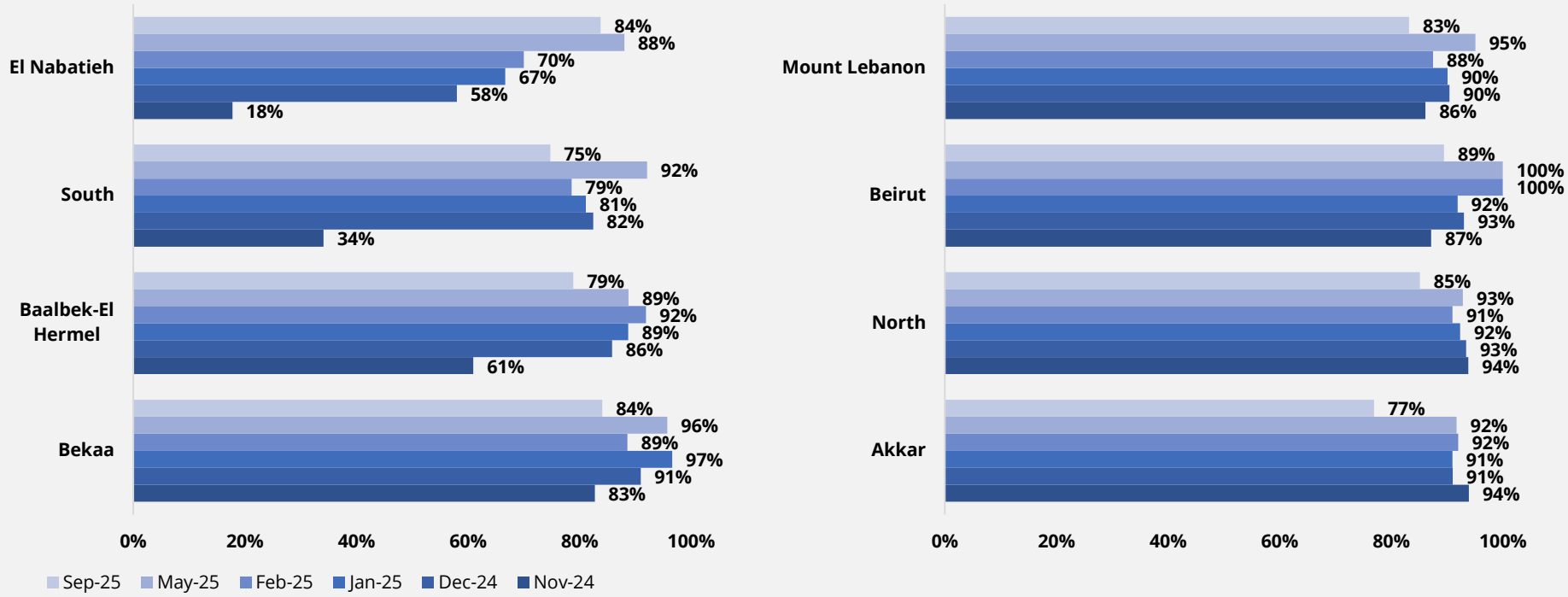


Financial constraints: Liquidity shortage affecting business continuity and capacity to replenish stocks
Indirect impact of conflict: Inaccessible location, risk of damage/destruction, or no customers in the region due to displacement
Other reasons include: selling the shop, opening another shop, switching to another business type or location, among others.

Operational Shops - Governorate

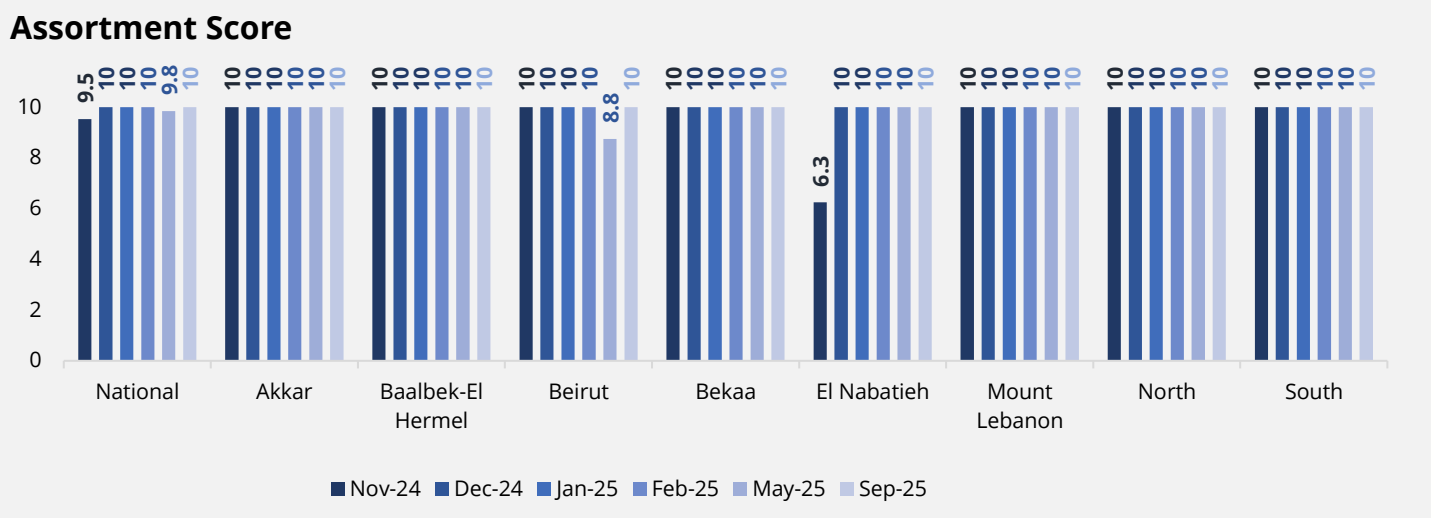
- A drop in operationality was observed nationwide, with all governorates seeing a drop below the 90 percent threshold of operational shops. With the exception of Bekaa and El Nabatieh, financial constraints was the main driver of non-operationality through all governorates in September 2025.
- The most marked monthly decreases were observed in South (92 to 75 percent) and Akkar (92 to 77 percent). The key driver of non-operationality in Akkar in September 2025 was financial constraints (63 percent of non-operational shops), while damage (28 percent) and indirect impact of conflict (12 percent) remained prominent in the South.

Percentage of operational shops by governorate



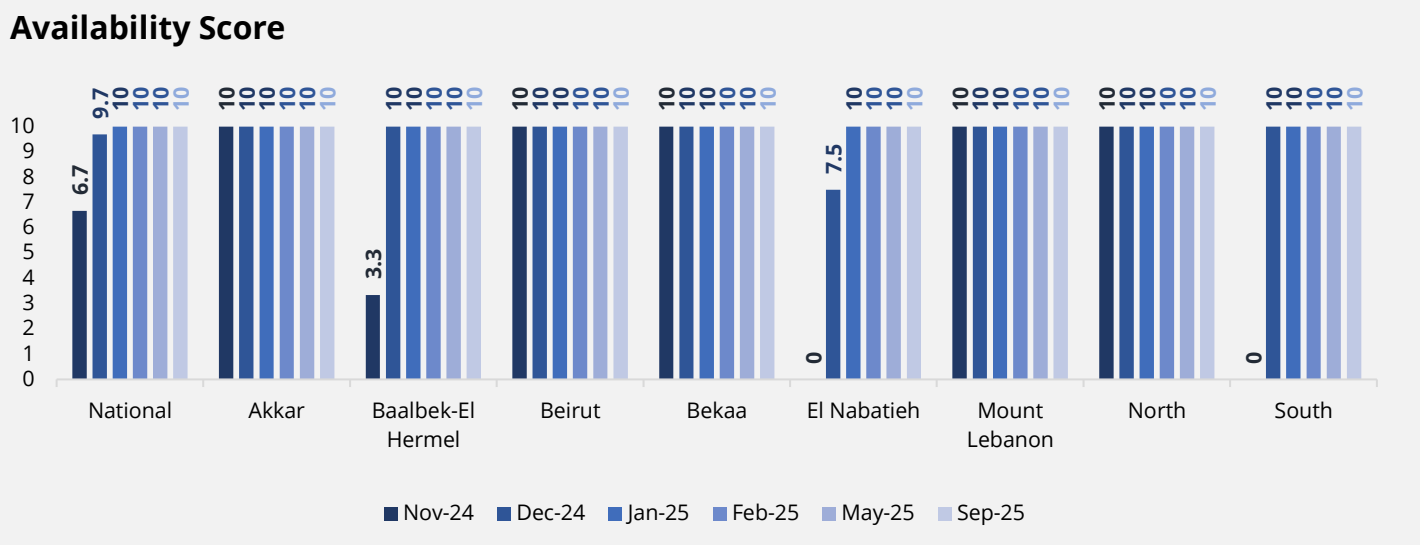
MFI – Assortment by Governorate

- National levels of assortment of essential goods remained very high, with a score of 10 in September 2025 following a slight dip at 9.8 in May 2025.
- Full assortment of essential goods (score = 10) was maintained in Akkar, Baalbek-El Hermel, Bekaa, Mount Lebanon, North and South throughout the reporting period.
- El Nabatieh has maintained a full score since December 2024, up from a low of 6.3 in November 2024.
- Beirut governorate rebounded to full assortment in September, after dropping to 8.8 in May 2025 due to no surveyed retailers selling healthcare items. These items are not necessarily sold in retail food shops; however, they are present in other types of shops not surveyed as part of this assessment.



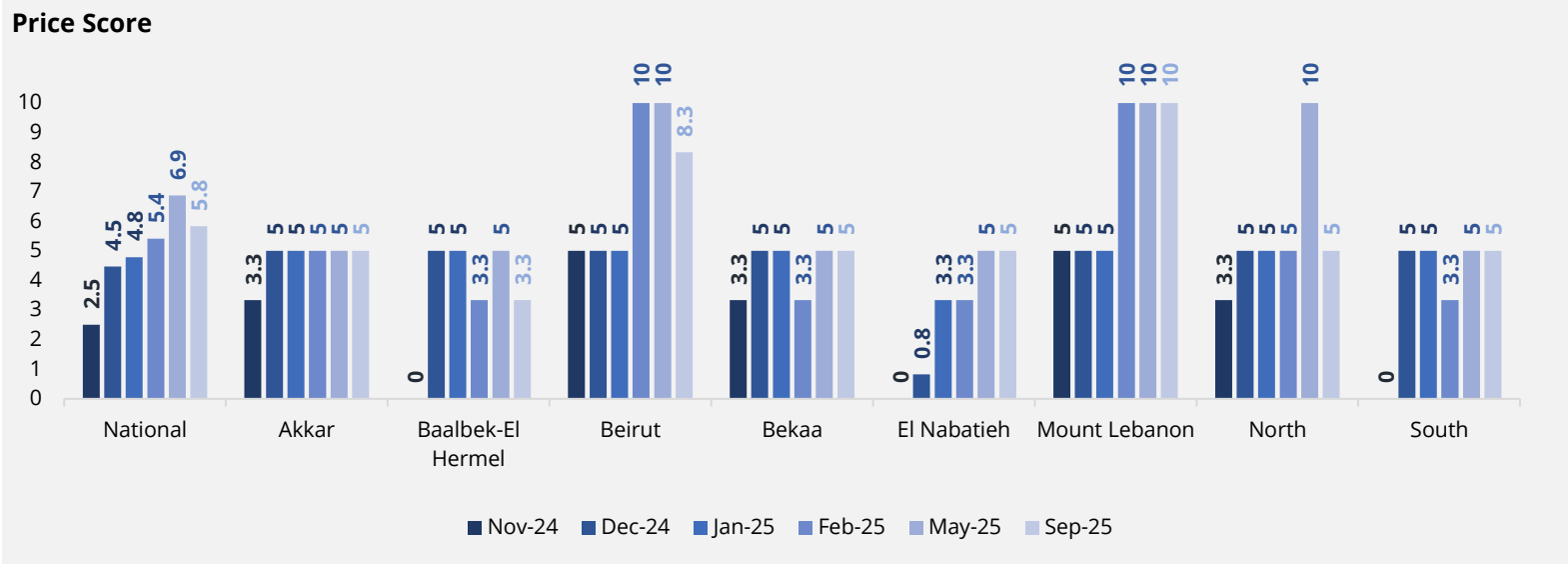
MFI – Availability by Governorate

- Full availability of essential items (score = 10) was maintained nationwide in September 2025, the same score since January 2025, consolidating the strong rebound since November 2024 (6.7).
- Baalbek-El Hermel and South have registered full availability scores since December 2024 (up from 3.3 and 0, respectively, in November 2024). El Nabatieh increased from 0 to 7.5 between November 2024 and December 2024, before stabilizing at full availability from January 2025 onwards.
- Akkar, Beirut, Bekaa, Mount Lebanon, and North maintained perfect availability scores (10) across all survey rounds.



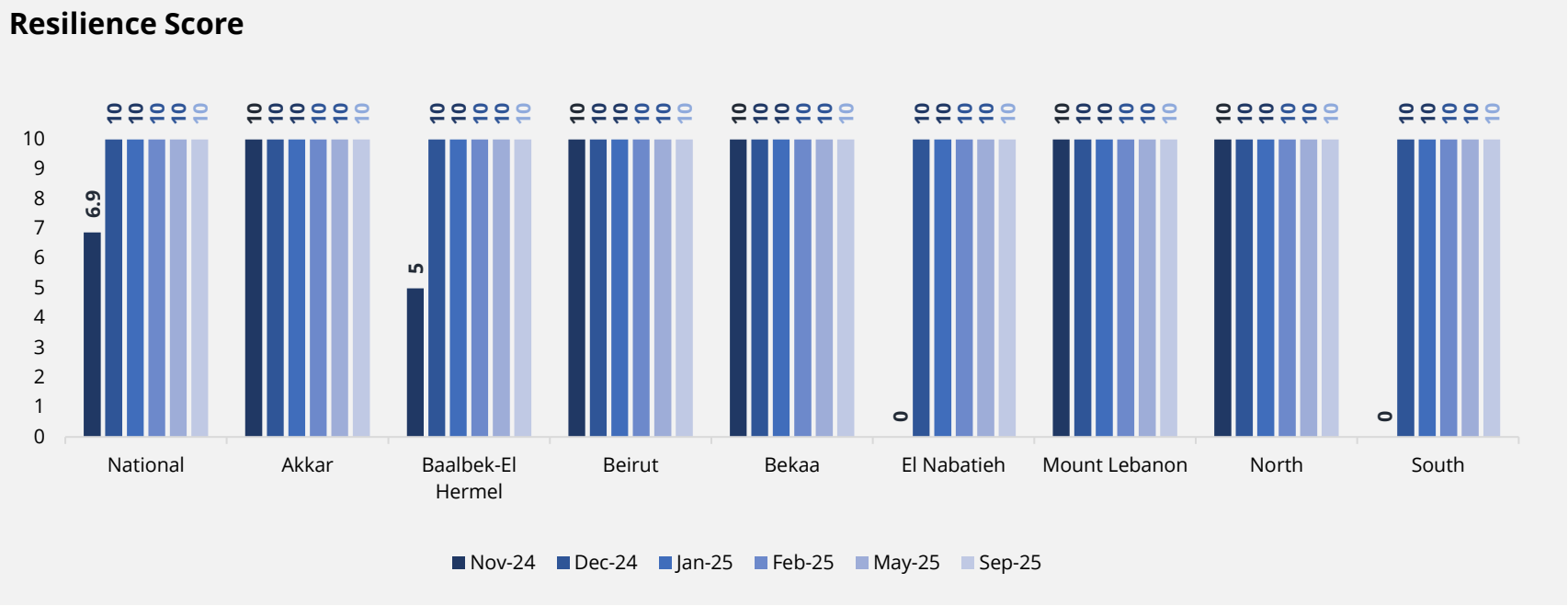
MFI – Price by Governorate

- In September 2025, the national price score stood at 5.8, slightly below its May 2025 level of 6.9 but above the 5.4 recorded in February 2025. The marginal decline reflects continued volatility in non-cereal food prices and uneven price predictability across governorates.
- Price scores were lowest in Baalbek-El Hermel at 3.3, unchanged from February but falling back from 5 in May due to renewed inflation in non-cereal food markets.
- Akkar, Bekaa, El Nabatieh, and South maintained their scores of 5, suggesting moderate stability but limited predictability. The North score dropped sharply from 10 to 5, reflecting increased unpredictability of prices.
- Mount Lebanon maintained its perfect score of 10, which it has held since February 2025, while Beirut's score remained high at 8.3 despite decreasing from 10 since May 2025.



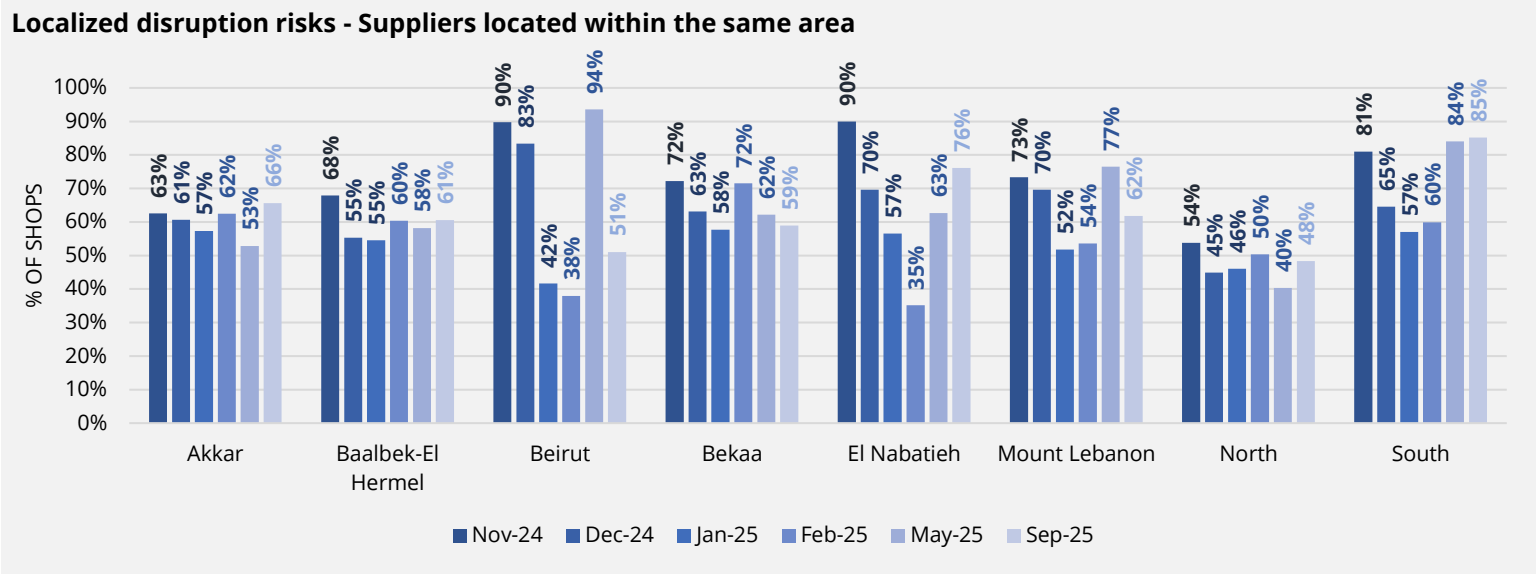
MFI – Resilience by Governorate

- National resilience remained at full capacity in September 2025, the same level since December 2024.
- South and El Nabatieh had both reached full resilience (10) by December 2024 up from the lowest score (0) in November 2024. Baalbek-El Hermel rose from 5 to 10 over the same period.
- Akkar, Beirut, Bekaa, Mount Lebanon, and North all maintained full resilience (10) across the entire period.



Vulnerability of supply chains – Localized sourcing

- The share of shops sourcing mainly from suppliers within the same area increased in some governorates.
- South (85 percent) and El Nabatieh (76 percent) continued to show the highest levels of local sourcing, reflecting persistent challenges in regional transport and reliance on self-contained supply networks.
- Beirut (51 percent) and North (48 percent) remained at the lower end, indicating stronger integration with external supply chains.
- Beirut displayed marked fluctuations over the past year, falling sharply from 90 percent in November 2024 to 38 percent in February 2025, before rebounding to 94 percent in May and declining again by September. This reflects the governorate's market responsiveness, with traders shifting sourcing rapidly in response to changes in logistics, prices, and security events.

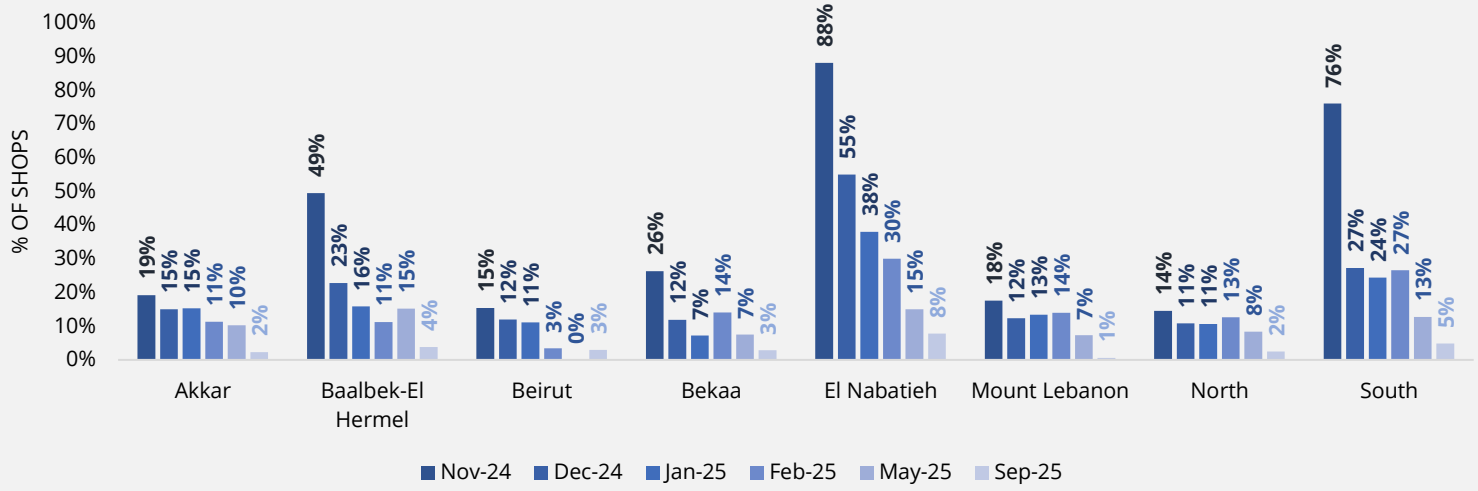


** Prevalence of suppliers' geographic concentration and reliance was estimated using the weighted average across product categories*

Vulnerability of supply chains – Dependence risks

- Reliance on a single supplier continued to decline in September 2025, reaching its lowest levels since late 2024, indicating further diversification of supply networks across most governorates.
- All governorates recorded lower levels of supplier concentration in September 2025 compared to November 2024, with particularly sharp reductions in El Nabatieh (from 88 percent to 8 percent), South (from 76 percent to 5 percent), and Baalbek-El Hermel (49 percent to 4 percent).

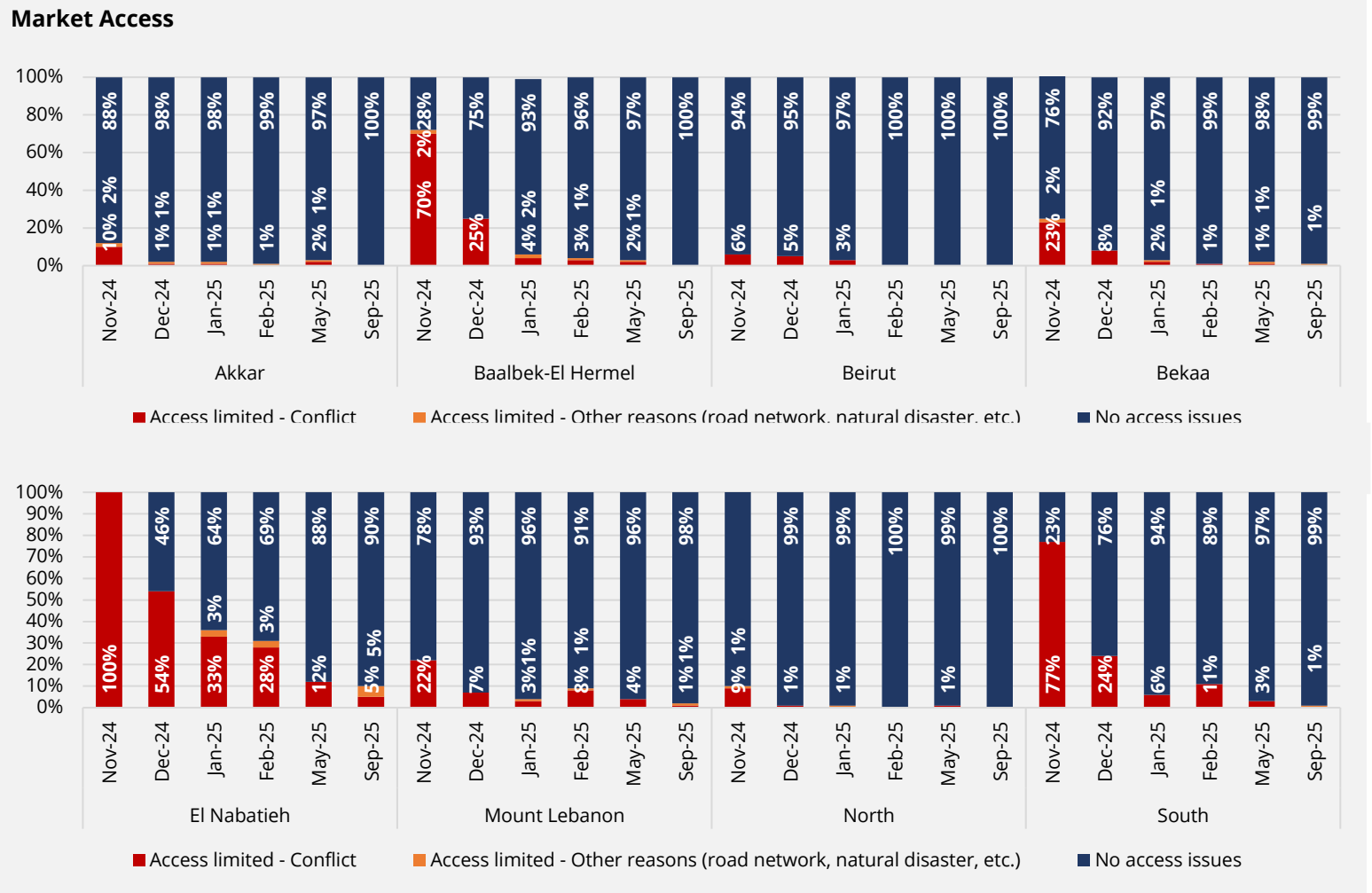
Dependence risks - Reliance on a single supplier



** Prevalence of suppliers' geographic concentration and reliance was estimated using the weighted average across product categories*

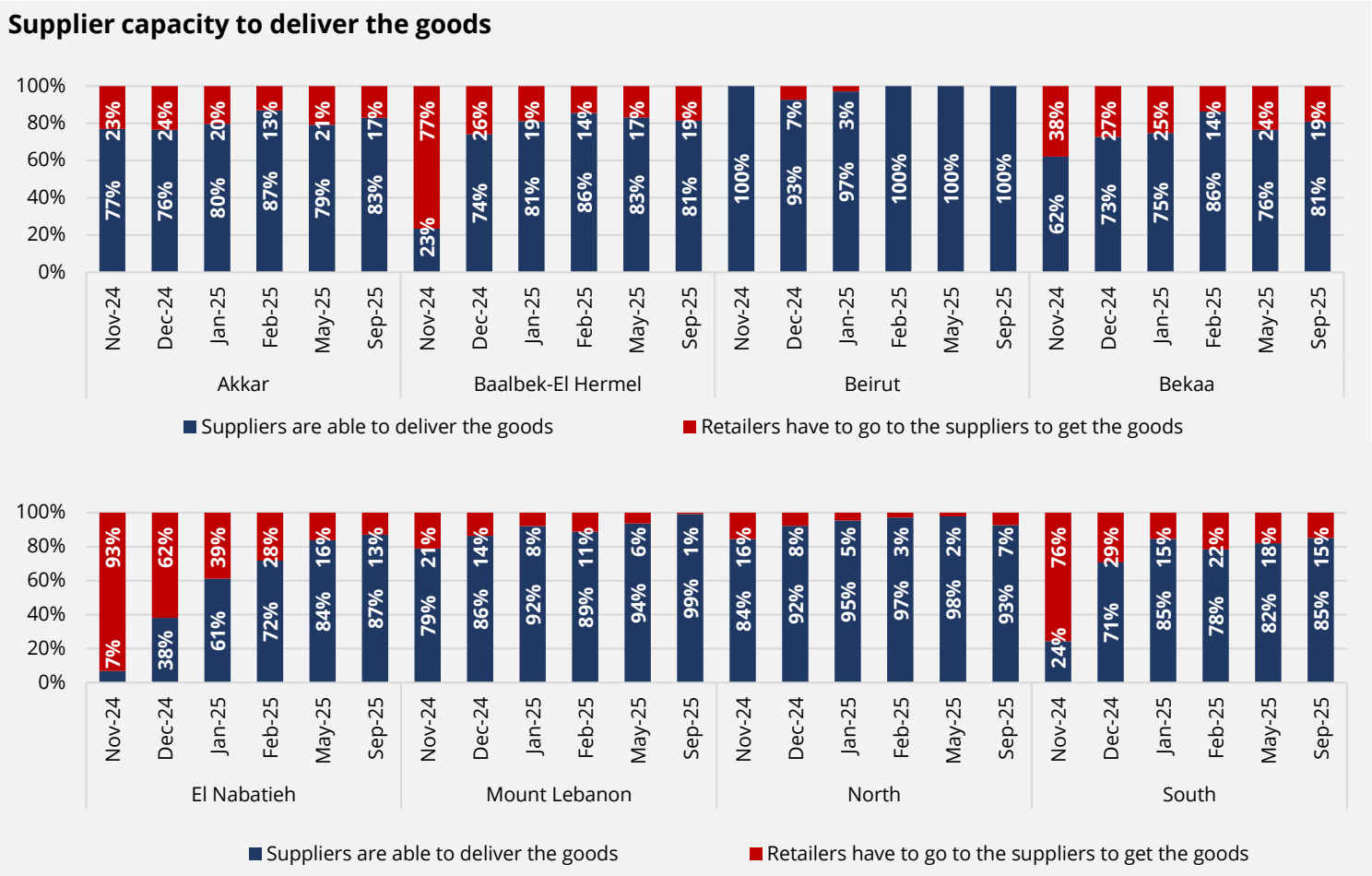
Market Access

- By September 2025, market access remained fully stable across all governorates, with nearly all surveyed shops reporting no access constraints — the strongest accessibility levels observed since late 2024.
- Conflict-related access limitations were still reported in El Nabatieh (5 percent) and Mount Lebanon (1 percent).
- Minor logistical access difficulties were also observed in El Nabatieh (5 percent), Bekaa (1 percent), Mount Lebanon (1 percent), and South (1 percent) mainly linked to road maintenance and seasonal weather conditions.
- Akkar, Baalbek-El Hermel, Beirut, and North reported uninterrupted market access



Supplier Capacity to Deliver Goods

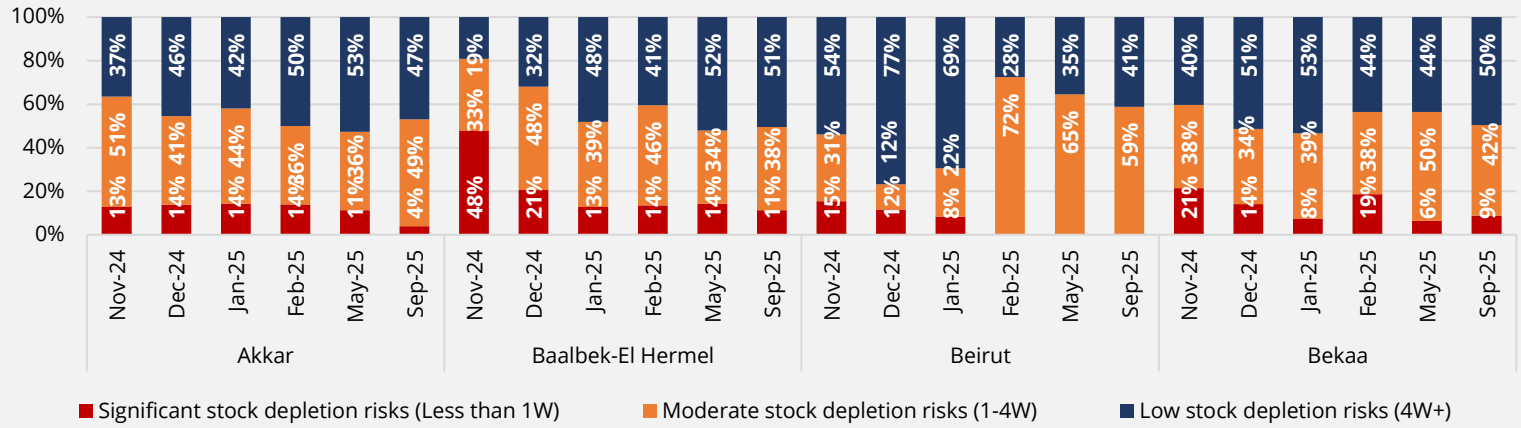
- In September 2025, supplier delivery capacity remained stable overall, with most governorates sustaining high levels of supplier reliability.
- Beirut and Mount Lebanon maintained full or near-full delivery capacity (100 percent and 99 percent respectively), underscoring their strong logistics networks and supplier reach.
- Akkar (83 percent), Baalbek-El Hermel (81 percent), Bekaa (81 percent), North (93 percent) all registered slight declines since February 2025, but remained at relatively high levels. The South (85 percent) saw an improvement for the third round in a row, while El Nabatieh (87 percent), continued to improve since November 2024.

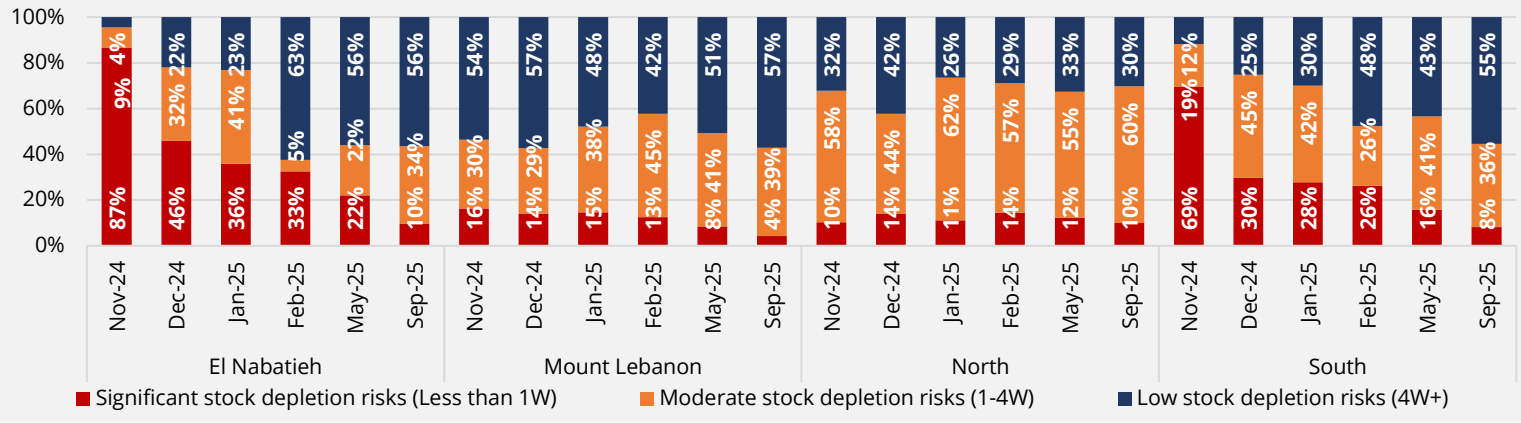


Stock Coverage

- In September 2025, market stock conditions remained broadly stable compared to May, with most governorates reporting adequate inventory levels and moderate risk of depletion.
- Significant stock depletion risks decreased across most governorates between May 2025 and September 2025, with sharp improvements in El Nabatieh (from 22 percent to 10 percent) and the South (from 16 percent to 8 percent).
- More than half of shops in Baalbek-El Hermel (51 percent), Beirut (69 percent), Bekaa (50 percent), El Nabatieh (56 percent), Mount Lebanon (57 percent) and South (55 percent) reported four weeks or more of stocks.

Stock coverage and depletion risks

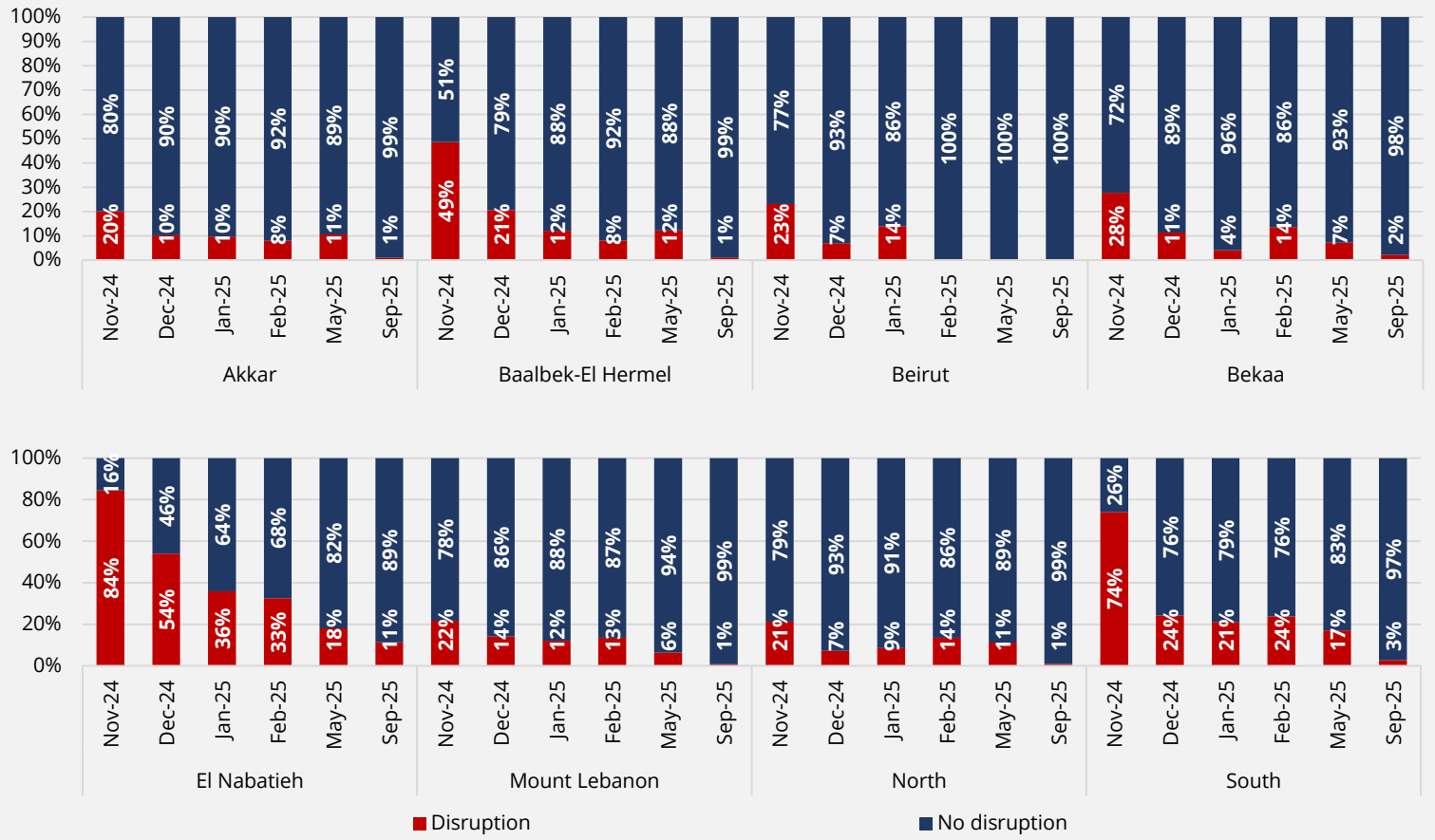


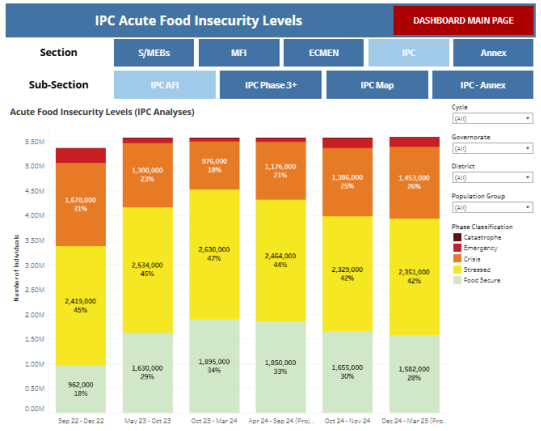


Food Disruption

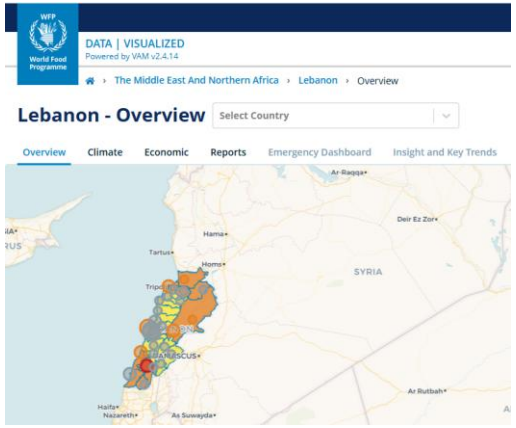
- By September 2025, reported disruptions in receiving goods from suppliers declined significantly across all governorates.
- Akkar, Baalbek-El Hermel, Beirut, Bekaa, Mount Lebanon, North and South all recorded full or near-full delivery reliability, with 97 percent or more of shops reporting no disruptions.
- El Nabatieh saw continued improvement despite trailing other governorates, with disruption rates dropping to 11 percent in September 2025, its lowest level since November 2024.

Disruption in the supply of essential food products





[Lebanon Food Security & Market Analysis Dashboard]



[WFP DataViz - Lebanon]



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